IE BUSINESS SCHOOL
INTERNATIONAL MBA PROGRAMME

# Business, Government & Sustainability

## Exam Study Guide

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**Sessions 1–15** | Core II | 2025–2026

**Key Themes:** Nonmarket Strategy · Political Economy · Lobbying & Regulation
Globalization · NGOs & Social Movements · CSR & Creating Shared Value · Sustainability

**Cases Covered:** Uber · Walmart · Xstrata · Chiquita · Aguas del Aconquija
Nike · PepsiCo · BP · FIJI Water · Disney

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# Part I

# Foundations: Markets, Government and Politics

# Chapter 1

# The Nonmarket Environment

## 1.1 What Is the Nonmarket Environment?

Businesses operate simultaneously in two environments. The **market environment** is defined by customers, competitors, suppliers, and market transactions. The **nonmarket environment** encompasses the political, regulatory, societal, institutional, and sustainability pressures that shape how firms create and capture value.

Successful corporate strategy aligns the firm's capabilities with the demands of *both* its market and nonmarket environment. When people lose in the market (e.g. taxi drivers displaced by Uber), they move to the nonmarket to try to solve their problem—petitioning governments, forming coalitions, and launching media campaigns.

**When to Use This**

Use nonmarket analysis whenever a firm faces pressures from governments, regulators, activists, NGOs, media, or public opinion that affect its ability to compete. If a case involves regulation, legislation, boycotts, public criticism, or political risk—start here.

## 1.2 The $(IA)^3$ Framework

The **$(IA)^3$ Framework** is the master analytical tool for diagnosing any nonmarket issue. It examines six dimensions: **I**ssues, **A**ctors, **I**nterests, **A**renas, **I**nformation, and **A**ssets.

**Framework: (IA)$^3$ — Analysing the Nonmarket Environment**

**Issue (I)**
A point in controversy on which interested parties take affirmative or negative positions. The firm engages if resolution affects its value creation.

**Actors (A)**
All parties who have a stake—firms, governments, NGOs, consumers, unions, media. Two dimensions determine political power: *organisation* and *interest homogeneity*.

**Interests (I)**
What does each actor want? How critical is it? Are positions negotiable? Identify allies, adversaries, and coalition possibilities.

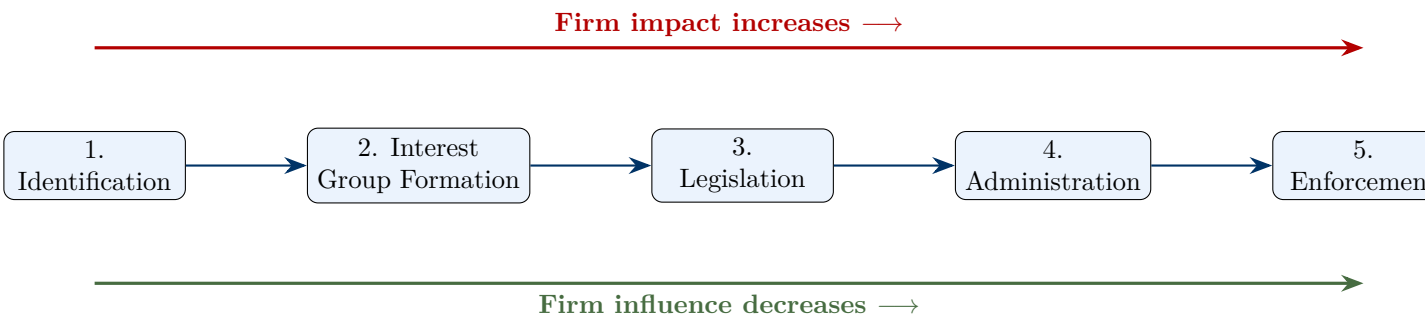
**Arenas (A)**
Settings where issues are resolved—courts, regulatory hearings, legislative committees, industry forums, public/media, international bodies. Rules differ across arenas.

**Information (I)**
The currency of the nonmarket environment (as money is in markets). More context-specific and less fungible than money. Owners of critical information hold decisive advantage.

**Assets (A)**
Resources and capabilities: reputation, access, knowledge, networks, information, money, and capabilities. Like market assets, these require long-term strategic development.

### 1.2.1 The Issue Life Cycle

Issues evolve through predictable stages. A firm's influence is *highest* when an issue is young and its impact on the firm is still *low*. As the issue matures through legislation and enforcement, firm impact rises but influence declines sharply.

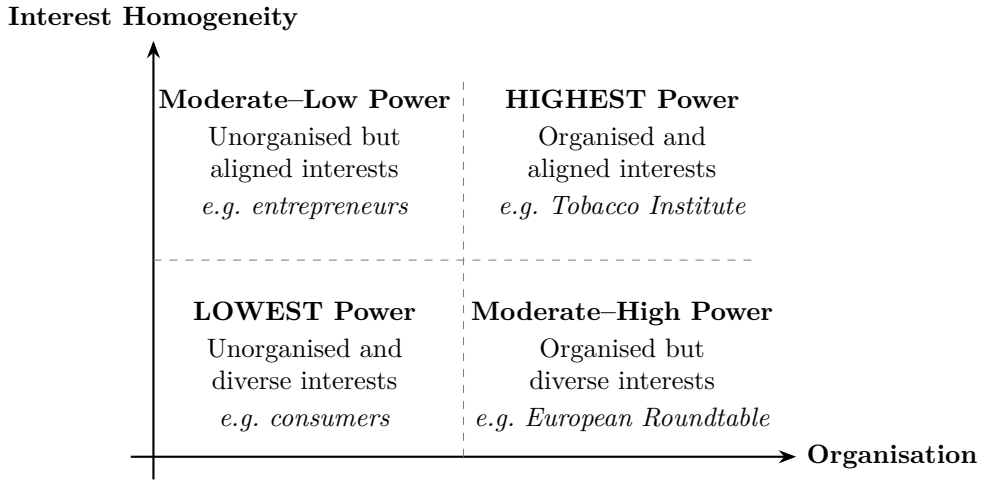



**Common Pitfall: Late Engagement**

Firms overwhelmingly fail by engaging too late—when urgency is maximum but influence is minimal. The Uber case illustrates this perfectly: the company ignored the nonmarket environment until regulators were already acting against it. **Early engagement = maximum influence at minimum cost.**

### 1.2.2 Political Power Matrix

An actor's political power depends on two dimensions: *how organised* they are and *how homogeneous* their interests are.




**Common Pitfall: Money ≠ Power**

Money alone does not guarantee political power. Greenpeace defeated Shell (Brent Spar); Nike activists forced sweatshop changes despite Nike's wealth; Indian farmers defeated Tata Motors with government support. **Organisation × Homogeneity > Money.**

### 1.2.3 Arena Strategy

Firms attempt to move issues to favourable arenas where the rules benefit them.

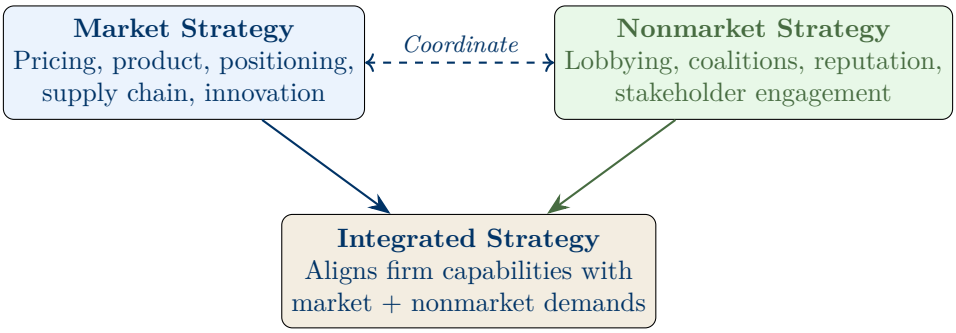
| Arena | Rules / Characteristics |
|---|---|
| Courts | Legal precedent, evidence standards, formal procedures |
| Regulatory Hearings | Expert testimony, technical data, compliance focus |
| Legislative Committees | Constituent interests, re-election concerns, political bargains |
| Industry Forums | Industry consensus, self-regulation, voluntary standards |
| Public / Media | Public opinion, emotional appeals, narrative control |
| International Bodies | Treaties, sovereignty, diplomatic relationships |

### 1.2.4 $(IA)^3$ Application Checklist

1. **Issue:** What is the specific controversy? Where is it in the life cycle?
2. **Actors:** Who are all the stakeholders? Map their organisation and interest homogeneity.
3. **Interests:** What does each actor want? Which interests are negotiable?
4. **Arenas:** Where is this being resolved? Can the firm move to a more favourable arena?
5. **Information:** Who controls critical information? What data would shift the debate?
6. **Assets:** What reputation, access, networks, and resources does the firm (and each actor) possess?

## 1.3 Integrated Market & Nonmarket Strategy

Market strategy and nonmarket strategy must be *coordinated*—not separate functions.




**Common Pitfall: Strategy Contradiction**

Uber's market strategy positioned it as a transportation disruptor, while its nonmarket strategy claimed it was merely a technology platform. This contradiction undermined credibility in both domains. **Market and nonmarket positioning must be consistent.**

# Chapter 2

# Understanding Political Power: Selectorate Theory

## 2.1 Core Principle

**No leader rules alone.** All leaders—democratic presidents, authoritarian dictators, corporate CEOs—require a supporting coalition to maintain power. Political survival is every leader's primary motivation, and *policy is the tool* leaders use to maintain their coalition.

**Framework: Selectorate Theory**

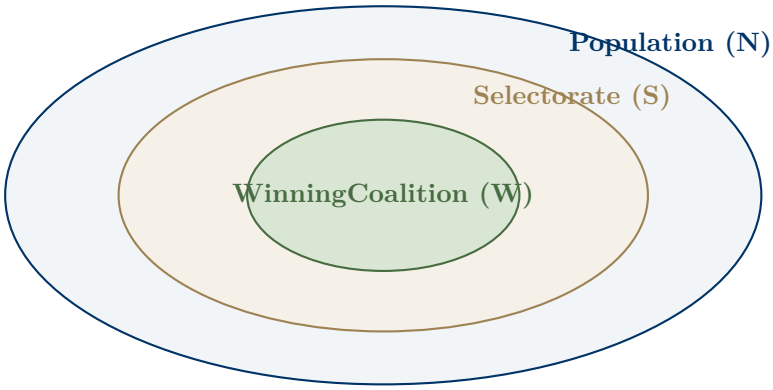
**Population (N)**
The entire governed group.

**Selectorate (S)**
Those with a formal say in leadership selection (voters, party members, military, elites).

**Winning Coalition (W)**
The subset of the selectorate whose support enables the leader to rule.

**Key Ratio: W/S**
Measures loyalty. High W/S means low loyalty (easy to replace members), so leader must provide public goods. Low W/S means high loyalty, so leader provides private goods and extracts rents.

### 2.1.1 The Polity Diagram



### 2.1.2 Policy Implications of W/S

| Factor | Small W / Large S (Low W/S) | Large W / Large S (High W/S) |
|---|---|---|
| Loyalty | High (hard to get into W) | Low (easy to replace) |
| Tax Rates | Lower | Higher |
| Public Goods | Low provision | High provision |
| Private Benefits | High (targeted to W) | Low |
| Growth / Productivity | Lower | Higher |
| Government Effort | Lower | Higher |
| Kleptocracy Risk | High | Low |

### 2.1.3 How Leaders Stay in Power — Six Tactics

1. **Keep W small** — fewer people to satisfy.
2. **Keep S large** — more replacement options if coalition members defect.
3. **Fill W with high-affinity members** — shared values reduce defection risk.
4. **Control revenue flows** — maintain leverage over supporters.
5. **Transfer revenues to W** — keep coalition members loyal.
6. **Block transfers from W to population** — preserve resources for self and coalition.

### 2.1.4 Implications for Nonmarket Strategy

**When to Use This**

Apply Selectorate Theory when analysing any case involving government relations, political risk, or policy change. Ask: Who is in the winning coalition? What is W/S? What does the leader need to survive? How can the firm become essential to the leader's political survival?

- Influence leaders by becoming key to their survival—get inside W.
- If not in W, build ties with its key members or influential blocs with shared interests.
- As W/S increases, each W member has more leverage (leader cannot afford losses).
- As W/S decreases, being outside W is more disadvantageous.
- Bring unique value to leadership: financial support, reputation, expertise.
- Predict policy change by understanding W composition and overlap with potential challengers.

# Part II

# The Political Environment and Corporate Strategy

# Chapter 3

# Lobbying and Political Strategy

## 3.1 What Is Lobbying?

Lobbying is "the art of persuasion"—identifying issues, assembling information, building consensus, alerting policy-makers, and offering remedies. At its core, lobbying is **information transfer** between interest groups and policy-makers.

**ROI:** For every $1 spent on lobbying, organisations receive between $11–$36 in benefits.

**Framework: Ten Steps for Developing a Lobbying Strategy**

1. **Have Realistic Objectives** — Politics is the art of the possible. Tweak rules; negotiate exemptions, flexibility, and transition times.
2. **Ensure Timely Intelligence** — Monitor key websites, call officials; don't rely on news media alone.
3. **Gather Allies** — Few governments are swayed by a single company. Broader concern increases favourable action.
4. **Build Consensus** — Unified position among allies is a strategic asset; without it, allies become a drag.
5. **Target Your Audience** — Carefully select where to focus pressure rather than spraying information broadly.
6. **Plan Your Message** — Clear, consistent, tailored by audience. Place in larger political/economic context.
7. **Time Your Message** — Associate with events (trade shows, summits) when media attention is already focused.
8. **Ask for What You Need, Not What You Want** — Finite political capital; don't demand too much simultaneously.
9. **Provide Solutions** — Simply opposing legislation unlikely to succeed. Help policy-makers square business interests with public objectives.
10. **Do the Work** — Compile information, build stakeholder consensus, manage PR. Policy-makers expect you to do the heavy lifting.

### 3.1.1 Lobbying Tools

| Tool | Best Use |
|---|---|
| Op-Ed Articles | Raise awareness quickly; part of broader campaign |
| Letters | Initial contact, meeting solicitation, follow-up |
| Briefing Papers | Essential for any campaign; forces clear articulation of objectives |
| Press Conferences | Major announcements, study publication; not a substitute for other tools |
| Public Forums | Rally allies, present coherent message to policy-makers |
| Parliamentary Questions | Formally table issue and oblige government response |
| Personal Meetings | Nothing substitutes direct contact; usually after briefing papers |

**Common Pitfall: Opposition Without Solutions**

Simply opposing legislation is a losing strategy. The most effective approach is to propose alternative solutions that satisfy both business interests and public policy objectives. Xstrata's success against the Australian mining tax demonstrates this principle.

## 3.2 International Trade Policy

### 3.2.1 Comparative Advantage

The **Law of Comparative Advantage** states that countries benefit from trade even when one country has an absolute advantage in producing all goods. Each country should specialise in goods where it has the *smallest relative disadvantage* (lowest opportunity cost).

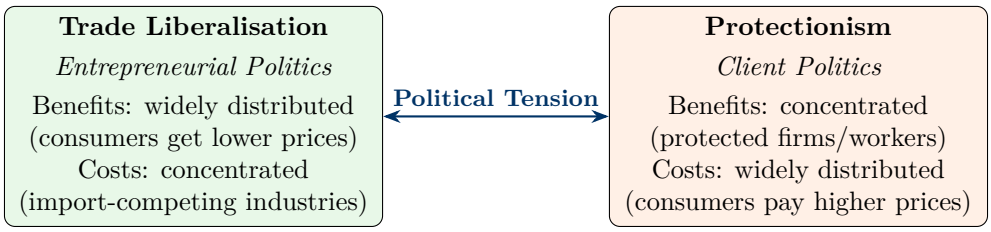
**When to Use This**

Apply trade policy concepts when a case involves cross-border operations, import/export dynamics, tariffs, quotas, or trade disputes. Chiquita's EU banana case is the primary application.

### 3.2.2 Strategic Trade Theory

Standard competitive theory assumes perfect competition. **Strategic trade theory** considers government intervention when these conditions are *not met*—when there are barriers to entry or economies of scale. Government subsidisation of a domestic firm can shift profits from foreign competitors (e.g. EU subsidisation of Airbus). However, retaliation creates a prisoner's dilemma where both sides lose.

### 3.2.3 The Dual Nature of Trade Politics




**Key asymmetry:** Import-competing interests have strong incentives to lobby (they have sunk, non-fungible resources). Export interests are weaker because new jobs don't exist yet—they cannot be identified until trade policy changes.

### 3.2.4 WTO and Trade Instruments

| Instrument | Description |
|---|---|
| Tariffs | Tax on imports; average 6.3% in developed countries post-Uruguay Round |
| Import Quotas | Limit maximum quantity; being phased out under WTO |
| Antidumping Duties | Applied when imports sold below "fair value"; 5-year sunset provision |
| Countervailing Duties | Offset foreign government subsidies causing injury |
| MFN Treatment | Each WTO member gives all others same favourable treatment |
| National Treatment | Once imported, product treated same as domestic product |

# Chapter 4

# Globalization: Political Risk & International Investment

## 4.1 Types of International Political Risk

When firms operate across borders they face risks that domestic firms do not: expropriation, discriminatory taxation, regulatory changes, political instability, and host-government conflicts.

**Framework: Political Risk Assessment**

**Macro Risks**
Affect all foreign firms: regime change, civil conflict, expropriation waves, currency controls.

**Micro Risks**
Affect specific industries or firms: targeted taxation, sector-specific regulation, contract renegotiation.

**Key Variables**
Government stability, W/S ratio, rule of law, contract enforceability, corruption levels, transparency, history of expropriation.

**When to Use This**

Apply political risk analysis to any case involving foreign investment or operations in politically unstable environments. The Aguas del Aconquija and Chiquita cases are the primary applications.

# Part III

# Strategy and Sustainability

# Chapter 5

# NGOs, Boycotts, and Social Movements

## 5.1 Private Politics

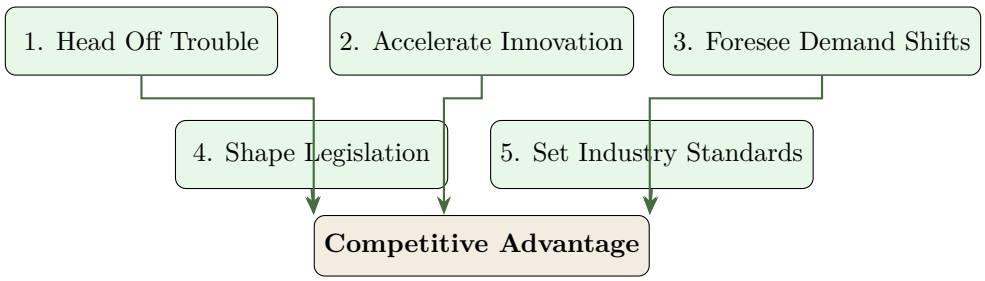
**Private politics** refers to the phenomenon where NGOs and activist coalitions enforce de facto governance standards *without government authority or democratic process*. They target high-brand-awareness companies through publicity, boycotts, shareholder activism, and regulatory lobbying.

### 5.1.1 NGO Strengths (Yaziji Framework)

**Framework: Four NGO Strengths Companies Should Covet**

1. **Legitimacy** — Public perceives NGO spokespeople as more credible than CEOs or PR representatives. NGOs are seen as dedicated to public welfare.
2. **Awareness of Social Forces** — Attuned to shifts in public values before they become mainstream. Detect latent concerns years before crises emerge.
3. **Distinct Networks** — Connected to regulators, legislators, other NGOs, donors. Capable of rapid global coordination ("swarming" strategy).
4. **Specialised Technical Expertise** — Staff includes lawyers, scientists, policy analysts (50% have master's degrees, 10–20% doctorates).

### 5.1.2 Five Benefits of NGO Partnership




**Common Pitfall: Greenwashing Through Partnership**

NGO partnerships create *higher* expectations. Any operational lapse will be judged more harshly. Partnership credibility requires consistent performance across *all* operations—not just showcased initiatives. BP's case demonstrates the catastrophic consequences of this gap.

# Chapter 6

# Corporate Social Responsibility and Creating Shared Value

## 6.1 Strategic CSR (Porter & Kramer)

**Framework: Strategic CSR — Three Categories of Social Issues**

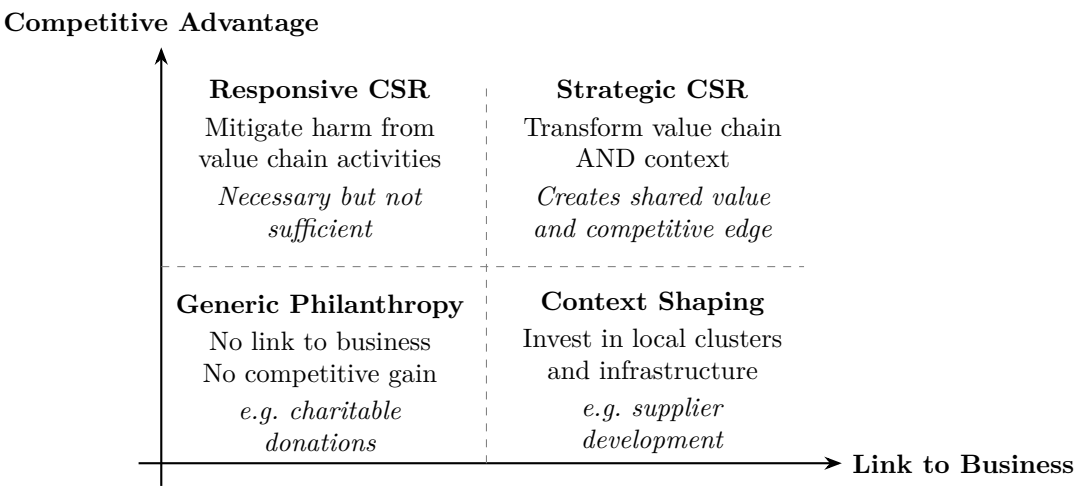
**Generic Issues**
Important to society but not directly linked to company operations. Philanthropy approach. *No competitive advantage.*

**Value Chain Issues**
Arise from the company's value chain activities. Address through operational improvements. *Creates cost savings and efficiency gains.*

**Competitive Context Issues**
Shape the competitive conditions of the firm's industry. *Creates differentiation and industry leadership.*

**Key insight:** Only value chain and competitive context issues create strategic competitive advantage. Generic issues dilute focus.

### 6.1.1 CSR Categories Matrix



## 6.2 Creating Shared Value (CSV)

**Framework: Three Ways to Create Shared Value**

1. **Reconceive Products and Markets** — Develop products addressing societal challenges (health, environment, accessibility). Requires understanding unmet needs.
2. **Redefine Productivity in the Value Chain** — Improve environmental/social performance while reducing costs. Better-treated workers = higher productivity, lower turnover.
3. **Enable Local Cluster Development** — Invest in infrastructure, skills, and suppliers in communities where the firm operates.

**Key distinction:** CSV differs from CSR. It is not charity but strategic business advantage through addressing societal needs. Profits and purpose go hand in hand.

**When to Use This**

Apply Porter's CSR/CSV frameworks when evaluating whether a firm's social/environmental initiatives are strategic or merely cosmetic. PepsiCo and BP are the key exam cases. Ask: Does this initiative address a value chain issue, a competitive context issue, or a generic issue?

### 6.2.1 The CSR Paradox

A fundamental tension exists when the firm's core business model *itself* is the societal problem:

| Company | Core Problem | CSR Approach | Alignment |
|---|---|---|---|
| Nike | Supply chain labour | Operational reform | High |
| PepsiCo | Unhealthy products | Portfolio diversification | Low |
| BP | Carbon emissions | "Beyond Petroleum" branding | Very Low |

**Common Pitfall: CSR on Fundamental Business Model Contradictions**

CSR is most credible when addressing secondary issues (supply chain improvements, environmental efficiency). When the core business model itself is the societal problem (PepsiCo selling sugar, BP selling oil), CSR risks appearing as "nutriwashing" or greenwashing. Superficial CSR without operational transformation is *worse* than no CSR—it creates expectations the firm cannot meet.

### 6.2.2 Market vs. Nonmarket Comparison

| Market Environment | Nonmarket Environment |
|---|---|
| Customer need | Issue |
| Money | Information |
| Leadership | Partnership |
| Flexibility | Consistency |
| Predictability | Uncertainty |
| Value | **Values** |

# Part IV

# Case Study Summaries

# Chapter 7

# Case Summaries

## 7.1 Uber: The Politics of Disruption (Session 1)

**Case: Uber and Stakeholders**

**Company/Context:** Five-year-old ride-hailing startup valued at $50B (2015), operating in 311 cities across 58 countries, disrupting the heavily regulated taxi industry through a smartphone platform connecting riders with drivers.

**Core Challenge:** Uber's aggressive "smash and grab" market expansion strategy created massive nonmarket opposition from regulators, taxi unions, and governments worldwide. The company's contradictory identity—marketing as a transportation disruptor while claiming to regulators it was merely a technology platform—undermined credibility in both domains.

**Frameworks Applied:** $(IA)^3$ Framework, Integrated Strategy, Nonmarket Environment Analysis.

**Key Decisions & Actions:**

- Prioritised user-base growth over regulatory compliance
- Launched in cities without seeking regulatory approval
- Classified drivers as independent contractors to avoid labour obligations
- Maintained contradictory positioning (tech firm vs. transport company)

**Outcomes:** Ongoing regulatory battles worldwide; bans in multiple jurisdictions; forced leadership changes; eventual need to build the stakeholder relationships it had initially dismissed.

**Transferable Lessons:**

1. Disruptive technology creates losers who become political actors
2. You *cannot* avoid government involvement in heavily regulated industries
3. Market and nonmarket positioning must be consistent
4. Early stakeholder engagement is critical for long-term sustainability
5. Displaced workers move to the nonmarket to solve their problems

## 7.2 Walmart: Nonmarket Pressure and Reputation Risk (Sessions 2–3)

**Case: Walmart Nonmarket Strategy**

**Company/Context:** World's largest retailer (2005) with 5,482+ stores in 16 countries and 1.3 million US employees, facing coordinated criticism on wages, benefits, discrimination, environmental practices, and community impact.
**Core Challenge:** How to respond to a comprehensive, multi-front nonmarket attack from unions, NGOs, community organisations, and media while maintaining market competitiveness.
**Frameworks Applied:** $(IA)^3$ Framework, Integrated Strategy, Selectorate Theory (coalition building).
**Key Decisions & Actions:**

- Established "War Room" staffed with political professionals
- Hired senior political advisors (Reagan, Clinton strategists)
- Launched $500M/year energy efficiency investment
- Created "Acres for America" ($35M conservation programme)
- Commissioned economic impact studies (Global Insight)
- Built grassroots coalition ("Working Families for Wal-Mart")
- Opened 8 community relations offices in contested markets
- Created stakeholder engagement executive positions

**Outcomes:** Reduced opposition intensity; earned praise from Environmental Defense and Sierra Club for environmental initiatives; maintained market position while rebuilding reputation.
**Transferable Lessons:**

1. Nonmarket strategy requires investment on par with market strategy
2. Substantive initiatives (not just messaging) build credibility
3. Coalition building transforms critics into allies
4. Economic data provides powerful political ammunition
5. Market strategy cannot be compromised for nonmarket positioning—Walmart tried raising prices to appear "gentler" and lost sales

## 7.3 Xstrata: Australian Mining Tax Reform (Session 4)

**Case: Xstrata and Lobbying**

**Company/Context:** Swiss-headquartered global mining company with 33% of total assets in Australia, employing 12,000+ Australians, investing A$45 billion (2002–2010). Faced the Australian government's proposed Resource Super Profits Tax (RSPT) targeting mining industry "super profits."

**Core Challenge:** How to defeat or significantly modify a major new tax targeting the mining industry, proposed by a determined government with popular support.

**Frameworks Applied:** Ten-Step Lobbying Strategy, $(IA)^3$ Framework, Selectorate Theory.

**Key Decisions & Actions:**

- Built broad industry coalition (BHP Billiton, Rio Tinto, smaller miners)
- Funded massive public advertising campaign highlighting economic impact
- Engaged multiple arenas simultaneously (media, parliament, public forums)
- Offered alternative tax proposals (solution-oriented approach)
- Highlighted impact on jobs, investment, and regional communities
- Targeted swing constituencies and state governments

**Outcomes:** RSPT replaced by significantly less burdensome Minerals Resource Rent Tax (MRRT); contributed to political downfall of PM Kevin Rudd; demonstrated the power of coordinated industry lobbying.

**Transferable Lessons:**

1. Coalition lobbying amplifies individual firm influence
2. Offering alternative solutions more effective than pure opposition
3. Public campaigns targeting voter sentiment can shift political calculations
4. Economic impact data (jobs, investment) is the most powerful lobbying currency
5. Engaging early in the legislative process preserves maximum influence

## 7.4 Chiquita Brands International (Session 5)

**Case: Chiquita and Globalisation**

**Company/Context:** Major US banana producer with extensive Latin American operations, formerly United Fruit Company (with its controversial historical legacy). Faced EU trade policy changes that threatened its market access in Europe.

**Core Challenge:** Navigate complex international trade politics when the EU's banana import regime favoured former-colony (ACP) producers over Latin American suppliers, directly threatening Chiquita's European market share and profitability.

**Frameworks Applied:** International Trade Policy, Comparative Advantage, WTO Dispute Settlement, $(IA)^3$, Lobbying Strategy.

**Key Decisions & Actions:**

- Lobbied US government to challenge EU banana regime at WTO
- Used US trade retaliation threats as leverage
- Engaged WTO dispute settlement mechanism
- Navigated complex multi-arena strategy (US government, WTO, EU institutions)
- Dealt with legacy reputation issues ("banana republic" history)

**Outcomes:** WTO ruled EU banana regime discriminatory; EU forced to modify import system; illustrated how trade policy creates winners and losers across borders.

**Transferable Lessons:**

1. Trade policy is fundamentally political, not just economic
2. Import-competing interests lobby harder than export interests (asymmetry)
3. WTO provides a powerful arena for resolving trade disputes
4. Historical reputation constrains current nonmarket strategy options
5. Global firms must manage multiple political arenas simultaneously

## 7.5 Aguas del Aconquija: Privatisation in Troubled Waters (Session 6)

**Case: Aguas del Aconquija**

**Company/Context:** French water utility Vivendi (through subsidiary Aguas del Aconquija) won a concession to operate the water and sewage system in Tucumán province, Argentina, during the country's 1990s privatisation wave.

**Core Challenge:** Operating a privatised essential service in a politically unstable environment where the provincial government, consumers, and political actors had fundamentally different interests from the concessionaire.

**Frameworks Applied:** Political Risk Assessment, Selectorate Theory, $(IA)^3$, Stakeholder Analysis.

**Key Decisions & Actions:**

- Raised water tariffs significantly upon takeover (required by concession contract)
- Failed to adequately engage local political stakeholders
- Underestimated political risk of essential service privatisation
- Did not build local community support before implementing changes
- Relied on international arbitration (ICSID) rather than local political engagement

**Outcomes:** Consumer revolt and bill non-payment campaign; provincial government rescinded concession; protracted international arbitration; massive financial losses.

**Transferable Lessons:**

1. Essential services (water, power) carry extreme political sensitivity
2. Legal contracts cannot substitute for local political legitimacy
3. Foreign investors must build local coalitions *before* implementing changes
4. Understanding the selectorate (W/S) of the host government is critical
5. Political risk assessment must include analysis of *micro* risks (sector-specific)

## 7.6 Nike: Hitting the Wall (Session 7)

**Case: Nike and International Labor Practices**

**Company/Context:** World's leading athletic footwear/apparel brand, built on outsourced manufacturing across Asia. 80% of shoes sold for fashion (not athletic performance), making brand reputation the company's primary competitive asset.

**Core Challenge:** Respond to escalating global crisis over sweatshop labour conditions at contract manufacturers—underage workers, coerced overtime, dangerous conditions, sub-poverty wages—that threatened to destroy the brand.

**Frameworks Applied:** NGO Engagement (Yaziji), Private Politics, Strategic CSR, $(IA)^3$.

**Key Decisions & Actions:**

- *Phase 1 (Denial):* Dismissed responsibility for contractor behaviour; hired Andrew Young for superficial review
- *Phase 2 (Crisis):* Stock dropped from $76 to $46; 69% earnings decline; campus boycotts at Duke, Georgetown, Michigan
- *Phase 3 (Reform):* Phil Knight's 1998 admission ("Nike product synonymous with slave wages"); minimum age raised to 18; OSHA standards adopted globally; Fair Labor Association co-founded

**Outcomes:** Gradual reputation recovery over 10+ years; established industry-wide labour standards through FLA; but wage issue remained contested.

**Transferable Lessons:**

1. Brand reputation (greatest market asset) becomes greatest nonmarket liability
2. Companies are held responsible for *entire* supply chain in public perception
3. Denial and defensive posture worsen crises exponentially
4. The "Nike Moment"—when negative publicity reaches critical mass—forces fundamental reassessment
5. Recovery requires admission, comprehensive reform, and *years* of sustained effort

## 7.7 PepsiCo: Establishing a Role in a Sustainable Society (Session 8)

**Case: PepsiCo and CSR**

**Company/Context:** Multi-brand food and beverage conglomerate (Pepsi, Gatorade, Frito-Lay, Quaker, etc.) under CEO Indra Nooyi, facing growing pressure as its core products were linked to obesity, diabetes, and heart disease—a global health crisis costing $2 trillion annually.
**Core Challenge:** Can PepsiCo transform its business model to address health concerns while maintaining profitability? Or is "straddling" both healthy and unhealthy portfolios inherently contradictory?
**Frameworks Applied:** Strategic CSR, Creating Shared Value, $(IA)^3$.
**Key Decisions & Actions:**

- Acquired healthier brands (Naked Juice, SoBe, SodaStream, Bare Snacks)
- Increased R&D investment 45% since 2011
- Launched Nutrition Greenhouse Accelerator for health startups
- Set product reformulation targets (sugar, salt, fat reductions)
- Maintained lobbying against regulation (soda taxes, sugar taxes)
- Applied "SmartSpot" labelling to products with minor health improvements

**Outcomes:** Incremental progress on portfolio diversification; ongoing tension between health mission and core business profitability; "nutriwashing" accusations for labelling improvements on fundamentally unhealthy products.
**Transferable Lessons:**

1. When the *product itself* is the societal problem, CSR cannot be outsourced to side initiatives
2. "Straddling" healthy and unhealthy portfolios risks appearing insincere
3. Lobbying against regulation while claiming health leadership is contradictory
4. Unlike Nike (supply chain issue), PepsiCo *owns* the problem—fundamental transformation required
5. First-mover advantage in health products possible but uncertain

## 7.8 BP: Beyond Petroleum? (Session 9)

**Case: BP's Sustainability Strategy**

**Company/Context:** Major global oil company that, under CEO John Browne, became the first in its industry to acknowledge climate change (Stanford speech, 1997) and rebranded as "Beyond Petroleum" with a sunburst green/yellow logo.

**Core Challenge:** Can an oil company credibly position itself as an environmental leader? What happens when cost-cutting operational realities contradict sustainability branding?

**Frameworks Applied:** Strategic CSR, Greenwashing Analysis, Integrated Strategy, Market vs. Nonmarket.

**Key Decisions & Actions:**

- 1997: CEO Browne acknowledged climate change; committed to 10% $CO_2$ reduction by 2010
- Rebranded from "British Petroleum" to "BP: Beyond Petroleum"
- Invested in wind, solar, biofuels R&D
- *Simultaneously*: Cut maintenance spending, deferred safety improvements
- 2005: Texas City refinery explosion (15 dead, 180 injured)
- 2010: Deepwater Horizon disaster (largest US environmental catastrophe)

**Outcomes:** Ranked #1 by media/NGOs for environmental performance (2001) and #3 in CSR (2004); then catastrophic reputation collapse post-2010. $80 billion market value lost. Baker Panel found company "put profits before safety."

**Transferable Lessons:**

1. CSR positioning creates *higher* expectations—operational failure is judged far more harshly
2. "Greater visibility = greater liability" when operations fail
3. Superficial CSR without operational commitment is worse than no CSR
4. Short-term cost pressures can destroy long-term reputation investments
5. The nonmarket demands **consistency** and **values alignment**—the market prioritises flexibility and value

## 7.9 FIJI Water: Carbon Negative? (Sessions 10/12)

**Case: FIJI Water and Greenwashing**

**Company/Context:** Premium bottled water brand sourced from a Fijian aquifer, owned by Roll International (Resnick family). Positioned at the intersection of pop-culture glamour and progressive politics—distributed at the Democratic National Convention and celebrity events.
**Core Challenge:** Defend the credibility of a "120% carbon negative" marketing claim built on forward-crediting carbon offsets, while managing a Fijian government that was raising export taxes and questioning the company's commitment to the local population.
**Frameworks Applied:** Greenwashing Analysis, Carbon Offset Framework, Political Risk, $(IA)^3$, Stakeholder Management.
**Key Decisions & Actions:**

- Launched "Every Drop Is Green" carbon-negative campaign (November 2007)
- Used forward-crediting offsets (highest-risk scheme)—projected 30-year emission reductions
- Disclosed carbon footprint to Carbon Disclosure Project (first bottled water company)
- Implemented shipping optimisation (Panama Canal routing: 55% GHG reduction)
- Built community wells and funded watershed protection in Fiji
- When government raised taxes: threatened plant closure and layoffs
- Filed against discriminatory 15-cent/litre export tax (only company affected)

**Outcomes:** Class-action lawsuit alleging "deceptive and misleading" carbon-negative claims; Stockholm Environment Institute criticism of forward-crediting; government accused company of not caring about Fiji.
**Transferable Lessons:**

1. Fundamentally unsustainable business models cannot be offset by side deals
2. Forward-crediting offsets carry maximum reputational risk (uncertain future reductions)
3. "Additionality" is the most contentious issue in carbon offsets—would the project happen anyway?
4. Host-government relations require sustained engagement, not adversarial threats
5. Premium pricing creates higher scrutiny of environmental/social claims

### 7.9.1 Carbon Offset Risk Framework

## 7.10 Disney: Mickey Mouse Takes a Stand (Sessions 11/13)

**Case: Disney and Sociopolitical Activism**

**Company/Context:** $250+ billion entertainment conglomerate with 200,000 employees, centred on American culture for nearly a century. CEO Bob Chapek had publicly committed to remaining apolitical on controversial issues.

**Core Challenge:** When Florida passed HB 1557 ("Parental Rights in Education Act" / "Don't Say Gay" bill), Disney faced an impossible trade-off: remain silent (alienating LGBTQ+ employees who demanded moral leadership) or speak out (risking government retaliation and alienating conservative customers).

**Frameworks Applied:** Stakeholder Management, Corporate Activism, Mission–Action Alignment, Political Risk, $(IA)^3$.

**Key Decisions & Actions:**

- *Phase 1 (Silence):* CEO refused public statement while 150+ companies signed opposition letter
- *Phase 2 (Reversal):* After employee uprising, Chapek publicly opposed the bill and apologised
- *Phase 3 (Retaliation):* Governor DeSantis signed bill removing Disney's Reedy Creek special district status
- Stock fell ∼25% from February to April 2022
- Communications Chief resigned after 3 months

**Outcomes:** Lost special governmental district status (estimated significant cost increase); stock decline; employee distrust despite reversal; demonstrated the enormous cost of corporate political engagement in polarised environments.

**Transferable Lessons:**

1. Mission statements create employee expectations—DEI commitments demand consistent action
2. Corporate silence on social issues is itself a political act in the current environment
3. Government retaliation risk is real and measurable (Reedy Creek removal)
4. Internal stakeholders (employees) can force corporate political positions
5. There may be no "safe" position when stakeholders are polarised
6. Polling showed public opinion was divided and nuanced—not clearly on either side

# Part V

# Exam Preparation Tools

# Chapter 8

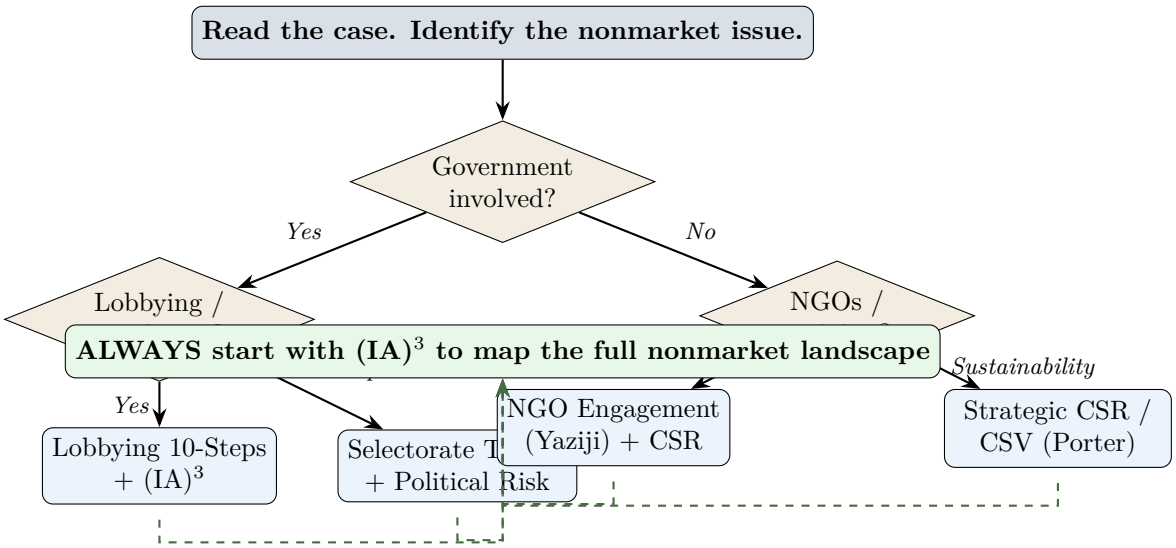
# Cross-Case Comparison Matrix

| | Core NM Issue | Primary Framework | Strategy Type | Outcome |
|---|---|---|---|---|
| **Uber** | Regulatory disruption | $(IA)^3$, Integrated Strategy | Reactive (failure) | Ongoing battles |
| **Walmart** | Multi-front reputation | $(IA)^3$, Coalition Building | Proactive | Reduced opposition |
| **Xstrata** | Tax policy | Lobbying 10-Steps | Proactive coalition | Tax modified |
| **Chiquita** | Trade policy | Trade Policy, WTO | Multi-arena | WTO victory |
| **Aguas** | Political risk | Selectorate, Risk | Passive (failure) | Concession lost |
| **Nike** | Labour practices | NGO Engagement, CSR | Reactive → Reform | Gradual recovery |
| **PepsiCo** | Product health | Strategic CSR, CSV | Incremental | Ongoing tension |
| **BP** | Safety / climate | Greenwashing, CSR | Strategic but hollow | Catastrophic failure |
| **FIJI Water** | Green claims | Carbon Offsets, Risk | Marketing-led | Lawsuit, tax crisis |
| **Disney** | Social activism | Stakeholder Mgmt | Forced reversal | Retaliation, losses |

# Chapter 9

# Master Framework Selection Guide

When faced with a new case on the exam, use this decision process:



# Chapter 10

# Diagnostic Questions for Exam Analysis

Use these questions to structure your analysis of any new case:

### 10.0.1 Nonmarket Environment (Always Start Here)

1. What is the specific nonmarket issue? Where is it in the issue life cycle?
2. Who are the key actors? Map their organisation and interest homogeneity.
3. What does each actor want? Which interests are negotiable?
4. In what arenas is this being resolved? Can the firm shift to a more favourable arena?
5. Who controls critical information?
6. What assets does each side possess (reputation, access, networks, money)?

### 10.0.2 Political Analysis

1. Who is in the winning coalition (W)? What is W/S?
2. What does the political leader need to survive?
3. Can the firm become essential to the leader's political survival?
4. Is the firm inside or outside W? What strategy follows from this position?

### 10.0.3 CSR / Sustainability Assessment

1. Is this a generic, value chain, or competitive context issue?
2. Does the firm's CSR initiative create shared value or is it cosmetic?
3. Is there a fundamental contradiction between the business model and the societal concern?
4. Would stakeholders view this as strategic CSR or greenwashing?
5. Is the firm's nonmarket positioning consistent with its operational reality?

### 10.0.4 Strategy Evaluation

1. Are market and nonmarket strategies integrated and consistent?
2. Is the firm engaging proactively or reactively?
3. Has the firm built coalitions or is it fighting alone?
4. Is the firm providing solutions or merely opposing?
5. What are the risks of action vs. inaction?

# Chapter 11

# Key Patterns Across Cases

## 11.1 Success Patterns

**What Winners Do**

1. **Engage early** in the issue life cycle (Xstrata, Walmart)
2. **Build coalitions** across stakeholder groups (Xstrata's industry alliance, Walmart's grassroots)
3. **Offer solutions**, not just opposition (Xstrata's alternative tax proposal)
4. **Invest substantively**, not just in messaging (Walmart's $500M energy programme)
5. **Integrate** market and nonmarket strategy (Walmart maintained low prices while building reputation)
6. **Senior leadership** personally engages with stakeholders (Walmart CEO met critics)

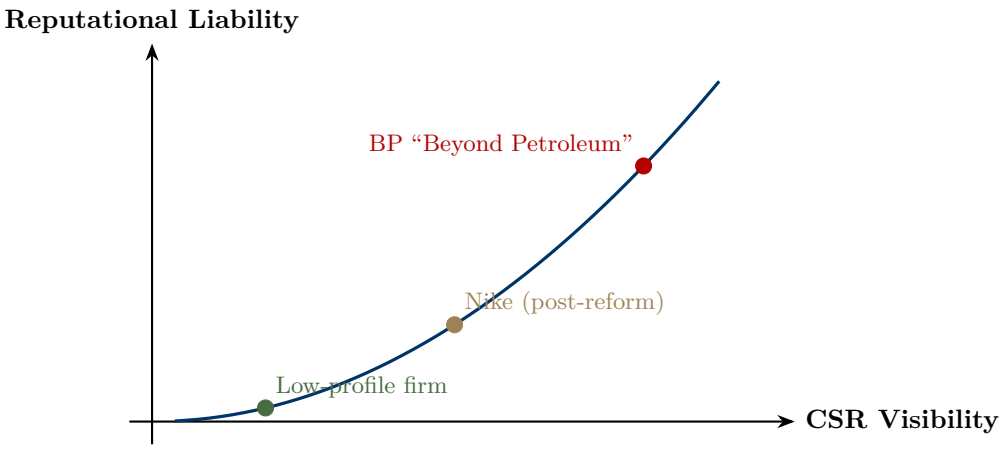
## 11.2 Failure Patterns

**Red Flags: What Losers Do**

1. **Ignore** the nonmarket environment until crisis (Uber, Nike Phase 1)
2. **Deny** responsibility or minimise the problem (Nike's initial stance)
3. **Contradict** market and nonmarket positioning (Uber's tech-vs-transport identity)
4. **Prioritise** short-term cost savings over long-term reputation (BP's cost-cutting)
5. **Greenwash**—make claims not supported by operations (BP, FIJI Water)
6. **Fail to engage** local stakeholders before implementing changes (Aguas)
7. **Threaten** rather than negotiate (FIJI Water vs. Fiji government)
8. **Rely on legal contracts** over political legitimacy (Aguas)

## 11.3 The Visibility–Liability Relationship

A critical pattern emerges across BP, Nike, and Disney: **the more visible a firm's CSR/values positioning, the greater its liability when operations contradict that positioning.**



# Quick Reference: All Frameworks at a Glance

| Framework | Core Idea | When to Apply |
|---|---|---|
| $(IA)^3$ | Six-dimension nonmarket analysis: Issues, Actors, Interests, Arenas, Information, Assets | **Every case.** Always start here. |
| Selectorate Theory | Leaders stay in power through winning coalitions; W/S ratio predicts policy | Government relations, political risk, policy change analysis |
| Issue Life Cycle | Influence highest early; impact highest late | Timing of firm engagement with any nonmarket issue |
| Lobbying 10 Steps | Systematic process for political influence campaigns | Any case involving regulation, legislation, or policy change |
| Comparative Advantage | Countries gain from trade via specialisation | International trade disputes, protectionism analysis |
| Strategic Trade Theory | Government intervention when perfect competition fails | Subsidies, industrial policy, Airbus/Boeing-type cases |
| Political Risk Assessment | Macro vs. micro risks in foreign investment | Any case with cross-border operations |
| NGO Engagement (Yaziji) | 4 strengths + 5 benefits of partnership | Cases involving activist pressure, boycotts, social movements |
| Strategic CSR (Porter) | Generic vs. Value Chain vs. Competitive Context issues | Evaluating any CSR initiative's strategic value |
| Creating Shared Value | Products, value chain, clusters—profit + purpose | Assessing if CSR creates competitive advantage |
| Carbon Offset Framework | Prompt, forward, forward-crediting—risk increases | Environmental claims, greenwashing analysis |
| Integrated Strategy | Market + nonmarket must be consistent and coordinated | **Every case.** Check for strategy contradictions. |

*End of Study Guide*